WELLS FARGO ADVISORS

Uncertainty overshadows improving economy

2012 Midyear Economic and Market OUTLOOK

A special publication from our Investment Strategy Committee

Economy

What does all the uncertainty mean for the economy?

See what our Chief Macro Strategist forecasts for GDP, unemployment and inflation.

U.S. equities

Amid the volatility, where does the stock market go from here ?

Our Chief Equity Strategist looks at what may be ahead for earnings and stock prices.

Fixed income

Are higher rates around the corner?

Get valuable insights from our Chief Fixed Income Strategist.

International

What lies ahead for Europe?

Our Chief International Strategist also checks up on China and the Middle East.

Please see page 15 for important disclaimers.

Economic and market forecast

As of June 11, 2012, unless otherwise noted

Our forecasts and recommendations in this report are produced by analysts and strategists on Wells Fargo Advisors' Investment Strategy Committee.

Economy		2011 year end	2012 latest	2012 year-end forecast
Inflation-adjusted GDP	*rolling four quarters*	1.6%	2.0% [1]	2.5%
Inflation-adjusted GDP	*latest quarter percent change annual rate*		1.9% [1]	
Unemployment	*end of period/latest*	8.5%	8.2% [3]	8.0%
CPI inflation	*12-month average*	3.2%	3.3% [2]	2.5%
Federal deficit	*rolling 12-months*	$1.2 tril.	$1.1 tril. [2]	$1.2 tril.
Existing home sales (SAAR*)	*end of period/latest*	4.4 mil.	4.6 mil. [2]	5.1 mil.
Total vehicle sales (SAAR*)	*end of period/latest*	13.5 mil.	13.7 mil. [3]	15.0 mil.

U.S. equity		2011 year end	2012 latest	2012 year-end forecast
S&P 500 index	*latest (as of 6/11/12)*	1,257.64	1,308.93	1,400-1,450
S&P operating earnings	*trailing four quarters*	$96.44/shr.	$98.09/shr. [1]	$103.00/shr.
S&P 500 price/earnings	*trailing four quarters operating earnings*	13.03	13.34 [1]	13.83

Fixed income		2011 year end	2012 latest	2012 year-end forecast
Target federal funds rate	*latest (as of 6/11/12)*	0.12%	0.12%	0.12%
10-year Treasury yield	*latest (as of 6/11/12)*	1.88%	1.64%	2.50%
30-year Treasury yield	*latest (as of 6/11/12)*	2.89%	2.70%	3.50%

International, commodities and currency		2011 year end	2012 latest	2012 year-end forecast
MSCI EAFE index	*latest (as of 6/11/12)*	1,412.55	1,355.92	1,500.00
MSCI Emerging Markets index	*latest (as of 6/11/12)*	916.39	914.87	1,100.00
Oil (per barrel)	*latest (as of 6/11/12)*	$98.83	$82.70	$104.00
Gold (per troy ounce)	*latest (as of 6/11/12)*	$1,563.70	$1,596.77	$1,700.00
U.S. dollars per euro	*latest (as of 6/11/12)*	$1.29	$1.25	$1.23

*SAAR = Seasonally adjusted annual rate 1 = Data as of first-quarter 2012 2 = Data as of April 2012 3 = Data as of May 2012 **Source:** Bloomberg, Wells Fargo Advisors

Recommended portfolio weightings

As of June 11, 2012

Asset classes

Overweight	Evenweight	Underweight
International emerging fixed income	Commodities	International developed fixed income
Short-term IG† bonds	Dollar	Long-term IG† bonds
	Emerging-market stocks	
	High-yield securities	
	Intermediate-term IG† bonds	
	International developed stocks	
	REITs	
	U.S. large-cap stocks	
	U.S. mid-cap stocks	
	U.S. small-cap stocks	

Note: Weightings are relative to current firm asset allocation models. **Source:** Bloomberg, Wells Fargo Advisors

†IG - Investment grade - Treasuries, agency securities, mortgage-backed securities, corporate bonds and municipal bonds.

Please see page 15 for important disclaimers.

Uncertainty overshadows improving economy

The U.S. economy is slowly recovering from its deep 2008-2009 recession. Unfortunately, there are still many dark clouds lingering, making it difficult for investors to see better conditions ahead. Global investors are worried about several problems, including the European debt crisis, the slowdown in emerging-market economies and the looming U.S. debt and deficit problems.

So far, the U.S. economy has proven resilient to most of the overseas problems and has outperformed many of the European economies that are in recession. However, it is unlikely that the United States would be immune to a collapse of the European monetary system.

At the beginning of 2012, we advised investors to prepare for better days. At this point, the U.S. economy continues to look better than it did last year, and we continue to recommend that investors position portfolios for modest growth, not recession. While many investors are still positioned very defensively, we believe the most likely scenario is for the U.S. economy to weather the problems ahead and continue to grow at a modest pace. However, until the dark clouds diminish and the economy's course becomes clearer, the markets may remain volatile.

Economy 4

The U.S. economy has been resilient, so the slow recovery should continue despite numerous challenges.

U.S. equities 6

We expect the market will close the year higher, but look for more volatility.

Fixed income 8

Rates remain low. Diversification is key.

International & commodities 10

Europe will remain an issue, but we believe euro-zone leaders will reach a compromise to avoid the worst.

Conclusion 12

Uncertainties linger, but investors should anticipate continued slow economic improvements and better days ahead.

Lingering uncertainties persist

Economy slowly improving, avoiding recession

Gary Thayer
Chief Macro Strategist

2012 Year-end
Forecasts

2.5%
Inflation-adjusted GDP
Rolling four quarters

8.0%
Unemployment
End of period

2.5%
CPI inflation
12-month average

Source: Wells Fargo Advisors

Slow and uneven recovery

The current economic recovery from the 2008-2009 recession celebrates its three-year anniversary this month. At this point in previous economic cycles, the troubles from the recession were often fading memories as the economy expanded at a healthy pace. Unfortunately, this economic cycle is different. The economy is growing but at a below-average rate. In fact, the current recovery is slower than nine out of the 10 previous recoveries since 1949. The only slower economic growth following a recession was in the early 1980s when the economy experienced back-to-back recessions with only a year of growth between them.

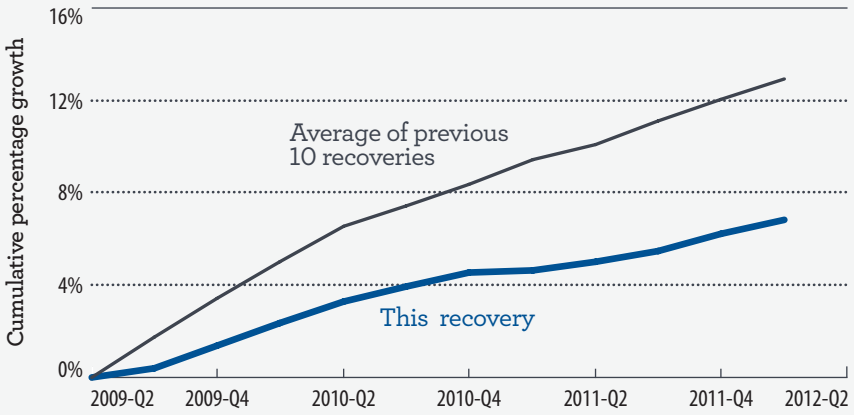
The economy is growing slowly because businesses and consumers are deleveraging (reducing their debt levels). Specifically, consumers are saving more and paying off debts. At the same time, companies are spending and hiring cautiously in order to reduce borrowing and rebuild cash balances. This deleveraging hurts the economy now but sets the stage for healthier economic growth down the road.

State and local governments have also curtailed spending over the past few years because of insufficient tax revenue. Furthermore, the U.S. recovery has lagged other recoveries because housing activity has been a drag on economic growth for the past six years. Fortunately, housing is now showing signs of life due to low mortgage interest rates, affordable home prices and modest job growth.

Also on the positive side, economic growth is not concentrated in only a few industries. In fact, job growth may not be strong, but it is widespread across many industries. This is typical of a healthy recovery, not a fragile one. The risk of recession would be greater if job growth was only occurring in a few industries.

The recovery remains subpar

Economic growth in this recovery continues to fall well short of what we experienced in the last 10 recoveries.

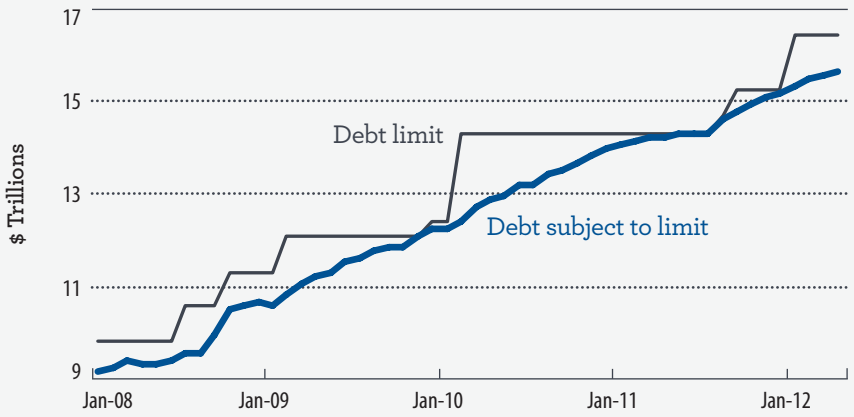


Source: Haver Analytics, Wells Fargo Advisors

Please see page 15 for important disclaimers.

Federal debt approaches debt ceiling

The U.S. government will likely have to raise the debt ceiling again because borrowing to finance the current budget continues to add to the debt outstanding.



Source: Haver Analytics, Wells Fargo Advisors

Slow but steady recovery

The economy still faces many uncertainties, including overseas problems, the upcoming November elections, the U.S. debt ceiling, etc. Nevertheless, we do not believe the economy is headed for another recession at this time.

Finally, both inflation and unemployment have been declining during the past few quarters. As a result, sentiment has improved. The University of Michigan's Consumer Sentiment Index increased in May to its highest level in four years. Similarly, small business optimism increased in April to its highest level in four years while home-builder sentiment increased in May to its highest level in five years. The economy has endured many problems during the past three years and continues to expand. We expect inflation-adjusted gross domestic product (GDP) – the total value of all products and services the country produces – to increase at a modest 2.5% annual rate in 2012, up from a 1.6% growth rate in 2011. On the inflation front, we look for consumer prices to increase at an average 2.5% rate in 2012, down from 3.2% in 2011.

Challenges ahead

The global economic slowdown and recessions in several European economies will most likely dampen the demand for U.S. exports. However, the U.S. economy has been resilient to these overseas problems. Of course, it could suffer if the situation in Europe worsens significantly.

The economic outlook will also hinge on the outcome of the November elections. The United States faces its own fiscal problems when the extension of the Bush-era tax cuts and the payroll tax cuts potentially expire at the end of 2012. At the same time, federal spending is scheduled to be cut because the Super Committee failed to reach a budget compromise as required by last summer's debt-ceiling extension. Finally, the U.S. government will need to raise the debt ceiling again later this year or early next year because borrowing to finance current budget deficits continues to add new debt to the total outstanding.

Investors have learned over the past few years that Congress often needs a crisis to force it to take action. In fact, Congress often creates those crises by setting tax and spending deadlines or debt-ceiling limits. Some analysts are calling these looming deadlines, which are set for early next year, a "fiscal cliff" that could send the U.S. economy into another recession if Congress does not act. At this point, the economy is not strong enough to withstand a huge tax increase and major cuts in federal spending. Therefore, we believe that following the November 2012 elections, the lame-duck Congress will most likely delay action on these issues until the newly elected Congress can more seriously deal with them. Unfortunately, the uncertain outcome of this political fight could create more market volatility. Nevertheless, we do not believe that the economy is headed for another recession at this time.

Though choppy, market has potential to move higher

Investors should focus on cyclically oriented stocks

Stuart Freeman, CFA®
Chief Equity Strategist

2012 Year-end Forecasts

$103
S&P 500 earnings

1,400-1,450
S&P 500 index

Source: Wells Fargo Advisors

We started 2012 with a number of primary expectations (listed below) that led us to maintain a relatively balanced position in sectors with respect to their defensive versus cyclical tendencies:

- Slowed earnings growth
- Continued market volatility, particularly due to concerns over:
  - European Union (EU) sovereign-debt issues that appeared to be spreading
  - U.S. government debt and deficit issues
  - The noise of a presidential election year
  - Continued anxieties regarding Iran's nuclear programs
  - The price of oil
  - The potential for other unexpected geopolitical events
- Better performance likely from larger- versus smaller-capitalization stocks
- Better performance likely from growth- versus value-oriented stocks
- Stronger consumer and investor confidence by late in the year as job, income and consumer-spending growth continue at a moderate pace.
- Potential for a higher level for the S&P 500 index by year-end

We continue to believe 2012 will likely represent a transition year for the domestic stock market from a midcycle phase, featuring sideways price movement, toward a second leg of this cyclical bull market. Although risks and uncertainties abound, the economy continues to grow at a modest pace, and S&P 500 operating earnings appear to be on a path for a 6%-to-7% expansion, versus 15% last year. The stock market is up 4.1% since the beginning of the year (as of June 11, 2012). In addition, the Conference Board's Consumer Confidence Index is 3.2% higher than a year ago, and the University of Michigan's Consumer Sentiment Index is roughly 5% higher than a year ago (and at a high for this recovery cycle). Finally, real personal income has increased roughly 1% in the last year and is approaching the 2007 high of the last economic cycle.

After a rapid 80%-plus recovery in the S&P 500 index between March 2009 and April 2010, the market advanced only 3% from April 2010 through December 2011. The very choppy pattern of higher highs and higher lows frustrated investors, who had seen little volatility in the first year of the cyclical bull market. However, it is not unusual for the market to chop sideways for a year or two after the end of its first upward rise following a recession.

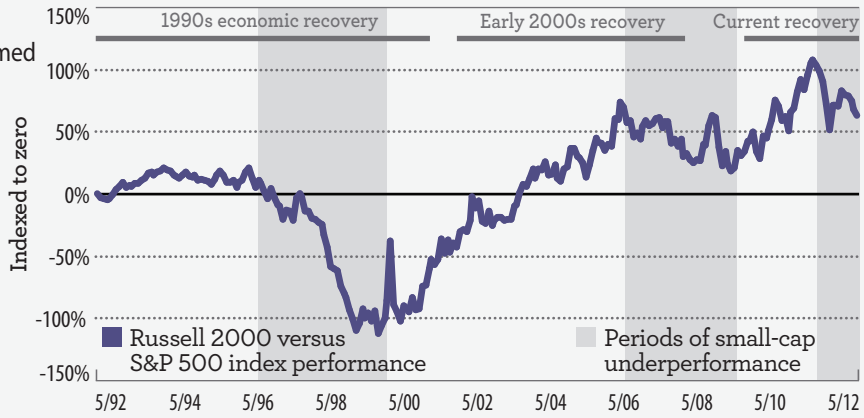
Over the course of the past 12 months, smaller-capitalization stocks have underperformed large-cap stocks by roughly 7%. This is not unusual between midcycle and the end of a cycle. As long as investors are focusing on European debt and banking troubles as well as slowing growth in China, the higher-volatility and smaller-cap names are likely to underperform mid- and large-cap names. Furthermore, the growth style has outperformed value by 7% over the last 12 months (as measured by the Russell 1000 Growth and Value larger-cap indices). Given the generally modest rate of domestic economic growth, we believe growth-focused companies are likely to remain outperformers at least until the lending and financial sector growth rates escalate.

In April 2012, we raised our year-end S&P 500 index target range to 1,400-1,450 from 1,325-1,375. A breadth of leading indicators points toward continuing job growth and an expansion in confidence through year-end. The domestic economy shows signs of resiliency, and liquidity is not only being injected by the Federal Reserve but also by central banks in Europe and Asia. Furthermore, based on our forward-looking work on a range of economic indicators, the breadth of employment growth and the ongoing breadth of the equity market recovery suggest that the second

Please see page 15 for important disclaimers.

Small-cap stocks tend to underperform in last half of a recovery

Small-cap (Russell 2000) stocks have underperformed large-cap (S&P 500) stocks recently. Based on historical performance and other factors, we expect this trend to continue.



Source: Baseline, Factset, Wells Fargo Advisors

Cyclical equity sectors should benefit

We have adjusted our stance toward more cyclically oriented (versus defensive) sectors, and believe these areas will bode well for equity investors as we enter the second up-leg of the current cycle.

up-leg of this cyclical bull market may have started from the October 2011 lows. At that point, confidence washed out as investors worried over the potential for a double-dip recession.

Softening energy prices and decelerating inflation are also likely to stimulate some consumer spending and reduce costs for some industry sectors. While a strengthening dollar may pressure multinational-company earnings growth somewhat, expectations for continuing dollar strength will likely result in continued capital flows toward dollar-based assets.

In recent periods, consumer sentiment has led investor sentiment. Although the uncertainties surrounding Europe and China, the risk of an upcoming fiscal cliff, changes in tax rates, a presidential election and Iran's nuclear programs will likely keep volatility alive through year-end, we believe slow economic growth should be felt directly or indirectly by a broader swath of consumers and investors. We also believe investor sentiment is likely to catch up with the progress of consumer confidence and spending later this year.

Sector performance has been rather mixed over the past year with respect to the cyclically sensitive versus defensive areas. While we recommended a balanced weighting among sectors during the last portion of 2011 through April this year, we have since adjusted our lean toward a more cyclically sensitive stance. We believe this stance should bode well for equity investors as the domestic economy and jobs continue to expand slowly but broadly across industries, and as market valuations benefit from rising consumer and investor sentiment levels. We currently recommend investors overweight the Consumer Discretionary, Information Technology, Materials and Telecommunication Services sectors. We are underweighting the Utility, Health Care, Energy and Financials sectors.

Opportunities in equities

As of June 8, 2012

Overweight	% of S&P 500	Guidance	Evenweight	% of S&P 500	Guidance	Underweight	% of S&P 500	Guidance
Consumer Discret.	11.2%	13.3%	Consumer Staples	11.4%	11.0%	Energy	10.7%	10.2%
Info. Tech.	19.9%	23.5%	Industrials	10.4%	10.5%	Financials	14.2%	12.7%
Materials	3.4%	5.0%				Health Care	11.8%	9.8%
Telecom.	3.2%	4.0%				Utilities	3.8%	0.0%

Rates remain low; focus on diversification

Perceived safe-haven buying continues

Brian Rehling, CFA®
Chief Fixed Income Strategist

2012 Year-end
Forecasts

0.00%-0.25%
Target federal funds rate

2.5%
10-year Treasury yield

3.5%
30-year Treasury yield

Source: Wells Fargo Advisors

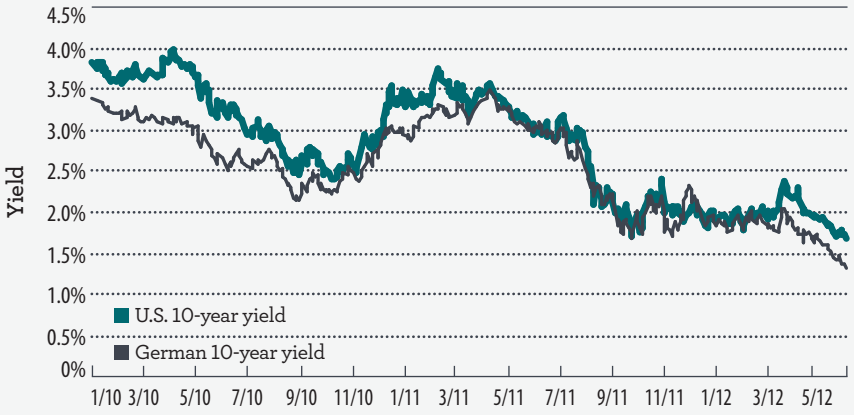
In our outlook at the beginning of 2012, we expected a gradual increase in interest rates over the course of this year as the economy and employment picture gradually improved. While we have indeed seen a gradual improvement in both the economy and employment so far, rates are now near all-time-low levels with the 10-year Treasury trading at 1.59% and the 30-year at 2.71% (as of June 11, 2012).

Six months ago, we outlined the potential risks to our target levels; primarily, we said that "The risk of European debt contagion remains heightened. The U.S. Treasury remains a perceived safe-haven instrument and would likely see further gains if European debt concerns increase." We expect European debt concerns will remain localized, but clearly concerns have increased well above our expectations. We do not anticipate a quick resolution to European debt issues, and debt contagion concerns appear likely to drag out for some time. In our opinion, the primary factor driving Treasury rates to new lows has been buying of perceived safe-havens. Given our expectations that this type of buying will continue to depress rates, we recently lowered our year-end yield targets to 2.50% (previously 3.00%) for the 10-year Treasury and 3.50% (previously 4.00%) for the 30-year Treasury.

Fixed income investors are also facing uncertain prospects for additional Federal Reserve monetary easing. The Fed has previously stated its intent to end "Operation Twist" (selling short-term Treasury securities and buying longer-term Treasuries) at the end of June 2012. Absent any new Fed programs, a large buyer of longer-dated securities will be removed from the market. We expect this to put modest upward pressure on rates. At this point, we do not think that a third round of quantitative easing (QE3) is necessary. (Quantitative easing involves the Fed buying Treasuries or other securities outright to increase the money supply.) Should future employment numbers disappoint or European debt fallout concerns increase, we could see the Fed implement further easing. We think any new

Global high-quality sovereign yields plummet

Buyers seeking perceived safe-haven investments have driven yields on high-quality sovereign debt down to historic lows.



Past performance is not an indication of future results.

Source: Bloomberg, Wells Fargo Advisors

Please see page 15 for important disclaimers.

monetary policy would look more like Operation Twist than the first two rounds of quantitative easing in 2009 and 2010. Any further easing would likely help to keep rates contained.

European debt worries and Fed easing uncertainty are not the only concerns fixed income investors are facing. The upcoming national elections and a looming fiscal cliff also make the current environment challenging. Without clarity on fiscal policy, investors may cling to fixed income investments, even at today's low levels. In a higher tax rate environment, tax-exempt income may become more valuable to investors. Preparing for an environment in which investors may face higher taxes is difficult, as we could see some traditional exemptions scaled back for higher-earning taxpayers.

Top-quality sovereign debt has benefited from perceived safe-haven flows; Germany, Switzerland, Sweden and Japan all currently offer lower yields than U.S. Treasuries. The historically low yields internationally make developed-market debt unattractive, in our opinion. The lack of yield available in perceived safe-haven alternatives should help keep U.S. Treasury rates near historically low levels until investors have more clarity regarding Europe's future.

We continue to recommend an overweight to emerging-market debt as we believe yields and valuations remain very attractive relative to other fixed income asset classes. Emerging-market governments have lowered their debt as a share of the national output and have improved inflation control while raising their reserves of dollars, euros and gold. Much-improved market liquidity tallies another positive for emerging-market debt, particularly liquidity in local currencies.

In our 2012 *Outlook* (published at the end of 2011), we encouraged investors to increase yield within their fixed income portfolio by "adding allocations to credit sensitive sectors, such as corporate bonds and preferred securities." Over the first half of 2012, these sectors have been among the top-performing fixed income sectors, even as Treasury rates dropped to new lows. We continue to recommend overweight allocations to the credit-sensitive sectors for investors with at least a six- to 18-month investment horizon. We recommend that investors with a shorter investment horizon use caution in adding to the more credit-sensitive sectors given these sectors' potentially volatile nature. We advise that clients refrain from "reaching for yield" by moving lower in credit quality than is appropriate for their risk tolerance. Investors should take care to diversify their fixed income allocations by holding positions both outside of the United States and in currencies other than the dollar to be better prepared for any future market issues.

While we do not expect a rapid rise in rates over the next 12 months, investors purchasing longer-dated bonds face an investment horizon in which significantly higher yields may negatively impact bond prices. It is important that investors avoid complacency. Much like equity prices, interest rates do not move in a straight line. While we see rate movements as somewhat benign over the next 12 months, the timing of significant moves often takes the market by surprise.

Manage both sides of your balance sheet

Increase your cash flow by refinancing debts. Even if you previously refinanced, current interest rate levels may allow additional savings.

Opportunities in fixed income

Overweight	Slight overweight	Evenweight	Slight underweight	Underweight	Duration
Corporate bonds	Municipal bonds	Agency securities	Treasury Inflation-Protected Securities	International developed -market debt	Slightly short*
Emerging-market debt	Preferred securities	High-yield securities		U.S. Treasuries	
		Mortgage-backed securities			

Source: Wells Fargo Advisors

**We recommend a duration slightly short of an investor's target duration. If an investor does not have a target duration, then we recommend a duration of approximately 4.25 years in taxable portfolios, and 6.75 years for tax-exempt portfolios. Duration, stated in years, can be used to estimate the percentage change in a bond's value that results from a 1% change in interest rates. The longer (higher) the duration, the more prices will fluctuate as interest rates rise and fall.*

Please see page 15 for important disclaimers.

Europe continues to weigh on markets

Remain cautious but expect a better second half

Paul Christopher, CFA®
Chief International Strategist

2012 Year-end **Forecasts**

1,500
MSCI EAFE equity index

1,100
MSCI Emerging-market equity index

$104 Crude oil
Per barrel

$1,700 Gold
Per troy ounce

$1.23
Euro exchange rate

Source: Wells Fargo Advisors

Positive trends develop slowly

At the beginning of the year, we expected renewed economic momentum to develop, depending on the answers to three key questions:

- Would the U.S. economy solidify its expansion and quicken its pace?
- Having worked to cool inflation pressures in 2010 and 2011, would Chinese authorities allow the world's second-largest economy to advance at a faster clip?
- Would euro-zone leaders build on their progress of late 2011 to construct a stronger basis for investor confidence?

Conditions in both the U.S. and Chinese economies have improved but more slowly than we expected. Both economies are significantly better off than they were last autumn and are supporting global markets, but especially in China, consumer spending and export growth have been restrained. Importantly, the risk of a deepening European financial crisis and the possibility of global contagion continue to weigh on confidence in China and in many other countries.

Looking ahead, we believe the European crisis remains the principal risk to global confidence. Greek voters have raised the prospect that a euro-zone country might seriously contemplate abandoning the euro. Even the possibility of a euro-zone split suggests that Greece, or possibly Spain, might choose to leave the euro rather than endure deepening austerity. We do not believe that Spain's financial problems are as intractable as Greece's. In addition, the potential costs of leaving the euro remain steep for Greece, Spain and the euro zone. Nevertheless, the Greek situation remains fluid, and political decisions could still split the zone. Still, we believe the most likely scenario for 2012, and perhaps into 2013, is that euro-zone leaders will respond to their strong incentive to address the union's immediate financial problems and the need for long-term economic growth.

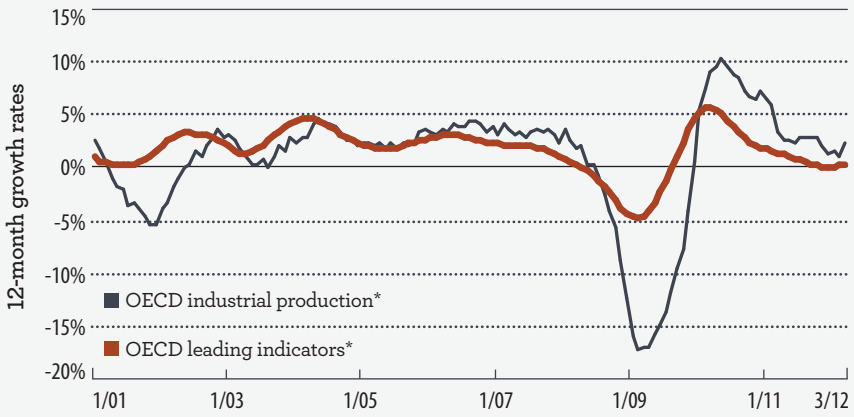
The improving state of the world economy marks an important and positive change from 2011. Although China's rebound has been sluggish so far, global economic data overall suggest the slowdown is ending. The chart on the next page shows the 12-month change in proxies for global leading indicators and industrial production. The close historical relationship depicted in the figure implies that the global economic slowdown is likely to end in the coming months. Moreover, the beginning of monetary and fiscal stimulus in places like Brazil, India and China, coupled with liquidity injections by Japan, Britain, the euro zone and the United States, point to a rebound in growth, probably late in the third quarter.

International risks remain prominent as well. Outside of Europe, tensions in the Middle East and central Asia could also escalate later this year. Our main concern outside of Europe is Iran, where Tehran's nuclear program has forced a diplomatic standoff with NATO and Israel. Economic sanctions have escalated to exact a clear toll on Iran's economy, and Tehran has resumed negotiating. While the negotiating process still holds some promise, Israel has clearly signaled its intention to retain freedom of action. We do not expect a new war, but oil prices could move higher if the talks falter.

Please see page 15 for important disclaimers.

Global slowdown ending

The historically leading relationship between the global economic leading indicators and industrial production implies that the global economic slowdown may be ending.



*Data are the composite totals for the countries in the Organization for Economic Cooperation and Development (OECD)

Source: Bloomberg and Wells Fargo Advisors

Things continue to look up

While international and commodity markets remain vulnerable to further disappointments, we remain cautious but continue to see prospects for improving conditions in the second half of the year.

International financial and commodity markets remain vulnerable to further disappointments from Europe and from China's economic reports. We remain cautious in our international markets outlook for the nearer-term but continue to see good prospects for improving investment conditions as the year progresses. Thus, we believe broadly diversified core portfolio positions that are below our long-term recommendations should gradually be taken back toward our recommended allocation targets. We also recommend investors supplement core positions with our favorite (or "satellite") markets chosen for their potential to resist some of the global uncertainties.

If, as we expect, Europe allays the fears of a euro-zone split and the global economy reaccelerates, the international market corrections of the second quarter could create attractive entry points. In that case, international equities and commodities could broadly offer better opportunities than they have done so far this year. We have revised our commodity price targets lower, taking our gold price projection to $1,700 per ounce and our crude oil (U.S. West Texas) year-end target to $104 per barrel. These updates acknowledge the global economy's extended consolidation in the first half of the year, but the revisions also anticipate improved economic and market conditions in the second half.

Opportunities in international financial and commodity investments

Equities	Sovereign debt	Currencies	Commodities
Japan[1]	Canada[1]	Japan[1]	Energy
Indonesia[2]	Australia[1]	Emerging Asia basket[2]	Gold
Malaysia[2]	New Zealand[1]		
Mexico[2]			

[1]*Developed international markets*
[2]*Emerging international markets*

Source: Wells Fargo Advisors

Taking advantage of uncertainty

The global economy continues to expand, but some parts of the world are doing better than others. The U.S. economy is outperforming many other developed economies, helping boost the dollar's value versus the euro. At the same time, U.S. equities have outperformed developed- and emerging-market stocks during the early part of 2012 as the U.S. economy is proving resilient to the problems occurring overseas.

If the U.S. economy continues to expand at a modest pace, as we anticipate, we would expect the U.S. stock market to move somewhat higher during the second half of 2012. At the same time, if the situation in Europe stabilizes, the demand for perceived safe-haven assets may diminish, causing U.S. Treasury yields to rise modestly from the current extremely low levels.

During this period of uncertainty, many investors remain defensive, holding low-yielding securities that lose value relative to rising inflation. Therefore, we believe investors should consider an investment strategy based on the following long-term themes:

- Deleveraging in highly indebted countries will continue to dampen global economic growth. Therefore, look for opportunities in countries with lower debt levels.
- Emerging-market economies have favorable demographic trends and are moving toward domestic consumption rather than exports to support economic growth. Therefore, consider investments in emerging-market equities and debt.
- Inflation is declining this year but is likely to average 3.0% over the long run. Consequently, investors should look for investments that are more likely to generate returns above the inflation rate.
- Interest rates are likely to rise from current low levels as the global economy expands. Therefore, investors need to understand that this could reduce the value of fixed income investments over time.
- In managing through uncertain times, investors should develop an investment plan that comprises a well-diversified asset allocation appropriate for their risk tolerance.

The biggest risk to our modestly positive outlook may be a significant deterioration in the European debt crisis or an unexpected event that boosts commodity prices during this period of slow global economic growth. Equally important, Congress and the president need to make serious progress toward addressing the U.S. debt and deficit problems, or investors may be less willing to buy U.S. government bonds, much like they have avoided the debt of several European countries with excessive debt burdens. The United States still has time to work through its long-term debt problems, but failure to act soon could push U.S. yields higher and hurt the U.S. economy. It is important for investors to recognize that, while there are indeed lingering uncertainties, the U.S. economy is improving, albeit at a slow pace, and better days should lie ahead.

Please see page 15 for important disclaimers.

Have an overall strategy before you act

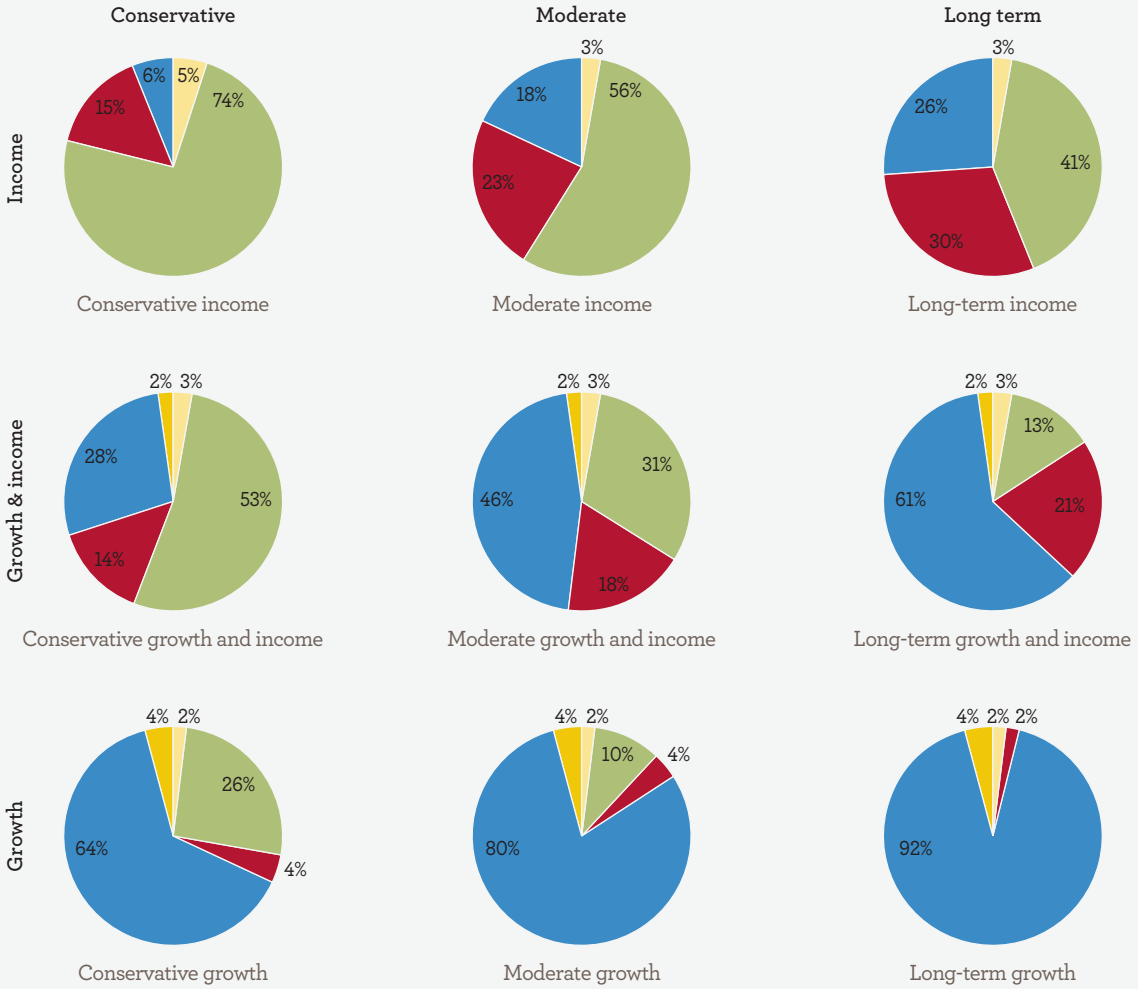
Our models can help you and your Financial Advisor get started

Assessing and, possibly, making adjustments to your investments based on expectations for the near future can be an effective approach. However, we believe that this should be done within the context of an overall investment strategy designed to help you work toward your goals.

To make the process of developing your overall strategy easier, Wells Fargo Advisors has crafted nine models (shown below) that cover a wide range of objectives from conservative income to long-term growth. Using the appropriate model as a starting point, your Financial Advisor can work with you to choose an asset allocation (investment mix) specifically addressing your situation and goals.

For more information and to start or update your strategy, contact your Financial Advisor with Wells Fargo Advisors or go to **wellsfargoadvisors.com** to locate a branch near you.

Strategic asset-allocation models



Investment objectives

Growth. Emphasis is on potential capital appreciation.

Growth and income. Balance in emphasis between potential capital appreciation and income.

Income. Emphasis on achieving current income.

Risk tolerance

Conservative. The least risk for a given investment objective.

Moderate. A higher degree of risk for the potential to receive higher returns.

Long-term. The highest risk within a given investment objective.

- Cash alternatives
- Fixed income
- Alternative income
- Equities
- Commodities

Please see page 15 for important disclaimers.

Definitions

Alternative income includes international fixed income, high yield, emerging-market debt and real estate investment trusts.

Commodities are basic goods used in commerce that are generally interchangeable with other commodities of the same type. Commodities are most often used as inputs in the production of other goods or services.

Consumer Price Index (CPI) is a measure of the weighted average of prices of a basket of consumer goods and services, such as transportation, food and medical care. The CPI is calculated by taking price changes for each item in the predetermined basket of goods and averaging them; the goods are weighted according to their importance. Changes in CPI are used to assess price changes associated with the cost of living.

Emerging markets are financial markets in countries with developing economies. These markets are typically immature compared to those of the world's major financial centers but are becoming increasingly sophisticated and integrated into international markets; they provide potentially higher returns but are intensely volatile.

High yield is noninvestment-grade fixed income securities (rated Ba1 or lower by Moody's and/or BB+ or lower by S&P). These investments are considered to be speculative and are subject to a higher degree of risk.

Intermediate-term fixed income includes instruments that mature in six to 12 years.

International investing involves putting money into financial markets in developed economies outside of the United States.

Large-cap growth stocks have a market cap greater than $10 billion and a price-to-book ratio greater than 2.3.

Large-cap value stocks have a market cap greater than $10 billion and a price-to-book ratio less than or equal to 2.3.

Long-term fixed income includes instruments whose maturities are greater than 12 years.

MSCI EAFE (Europe, Australasia and Far East) index compiled by Morgan Stanley Capital International (MSCI) is a value-weighted index of the equity performance of major foreign markets. In effect, it is a non-American world index of more than 1,000 stocks.

MSCI Emerging-market index was created by MSCI and designed to measure equity market performance in global emerging markets.

Mid-cap growth stocks have a market cap between $2 billion – $10 billion and a price-to-book ratio greater than 2.3.

Mid-cap value stocks have a market cap between $2 billion – $10 billion and a price-to-book ratio less than or equal to 2.3.

Real estate investment trusts (REITs) trade on the major exchanges and invest in real estate directly, either through properties or mortgages.

Russell 2000 index measures the performance of the small-cap segment of the U.S. equity universe. It includes approximately 2,000 of the smallest securities based on a combination of their market capitalization and current index membership.

Short-term fixed income includes instruments that mature in one to six years.

Small-cap growth stocks have a market cap less than $2 billion and a price-to-book ratio greater than 2.3.

S&P 500 index consists of 500 industrial, financial, utility and transportation companies with market capitalizations of $4 billion or more.

Important disclaimers

Some information contained in this report was prepared by or obtained from sources that Wells Fargo Advisors believes to be reliable. Any market prices are only indications of market values and are subject to change.

Wells Fargo Advisors may not offer direct investments into the products mentioned in this report.

Past performance is not an indication of future results.

An index is not managed and is unavailable for direct investment.

Investing in foreign securities presents certain risks not associated with domestic investments, such as currency fluctuations, political and economic instability, and different accounting standards. This may result in greater share price volatility.

Dividends can be increased, decreased or totally eliminated at any point without notice.

Diversification does not guarantee a profit or protect against loss in declining markets.

Technology and Internet-related stocks, especially of smaller, less-seasoned companies, tend to be more volatile than the overall market.

The prices of small- and mid-cap company stocks are generally more volatile than large-company stocks. They often involve higher risks because smaller companies may lack the management expertise, financial resources, product diversification and competitive strengths to endure adverse economic conditions.

Investing in fixed income securities involves certain risks, such as market risk if sold prior to maturity and credit risk, especially if investing in high-yield bonds, which have lower ratings and are subject to greater volatility. All fixed income investments may be worth less than original cost upon redemption or maturity. Income from municipal securities is generally free from federal taxes and state taxes for residents of the issuing state. While the interest income is tax-free, capital gains, if any, will be subject to taxes. Income for some investors may be subject to the federal alternative minimum tax (AMT).

High-yield bonds, also known as junk bonds, are subject to greater risk of loss of principal and interest, including default risk, than higher-rated bonds. The prices of these bonds may be volatile , and they are generally only suitable for aggressive investors.

Bond prices fluctuate inversely to changes in interest rates. Therefore, a general rise in interest rates can result in the decline of the value of your investment.

There are special risks associated with investing in preferred securities. Preferred securities generally offer no voting rights with respect to the issuer. Preferred securities are generally subordinated to bonds or other debt instruments in an issuer's capital structure, subjecting them to a greater risk of non-payment than more senior securities. In addition, the issue may be callable, which may negatively impact the return of the security. Preferred dividends are not guaranteed and are subject to deferral or elimination.

The interest rate for Treasury Inflation-Protected Securities (TIPS), which is set at auction, remains fixed throughout the term of the security. The principal amount of the security is adjusted for inflation, but the inflation-adjusted principal will not be paid until maturity although the adjustment will be subject to income tax in the year it was earned. Wells Fargo Advisors is not a tax advisor. TIPS have special tax consequences, generating phantom income on the "inflation compensation" component of the principal. A holder of TIPS may be required to report this income annually although no income related to "inflation compensation" is received until maturity.

There are special risks associated with an investment in real estate, including credit risk, interest rate fluctuations and the impact of varied economic conditions. Distributions from REIT investments are taxed at the owner's tax bracket.

While stocks generally have a greater potential return than government bonds and Treasury securities, they involve a higher degree of risk. Government bonds and Treasury bills, unlike stocks, are guaranteed as to payment of principal and interest by the U.S. government if held to maturity. Although Treasuries are considered free from credit risk, they are subject to other types of risks. These risks include interest rate risk, which may cause the underlying value of the bond to fluctuate inversely to a change in interest rates.

Buying commodities allows for a source of diversification for those sophisticated persons who wish to add commodities to their portfolios and who are prepared to assume the risks inherent in the commodities market. Any purchase represents a transaction in a non-income-producing commodity and is highly speculative. Therefore, commodities should not represent a significant portion of an individual's portfolio.

Buying gold, silver, platinum or palladium allows for a source of diversification for those sophisticated persons who wish to add precious metals to their portfolios and who are prepared to assume the risks inherent in the bullion market. Any bullion or coin purchase represents a transaction in a non-income-producing commodity and is highly speculative. Therefore, precious metals should not represent a significant portion of an individual's portfolio.

There is no assurance that any of the target prices or other foward-looking statements mentioned will be attained. Any market prices are only indications of market values and are subject to change.

Investments that are concentrated in a specific sector or industry may be subject to a higher degree of market risk than investments that are more diversified.

Standard & Poor's credit rating: A-rated securities are upper-medium grade. Bonds, that possess many favorable investment attributes are considered as upper-medium-grade obligations. Factors giving security to principal and interest are considered adequate, but elements may be present which suggest a susceptibility to impairment sometime in the future.

Home Office – St. Louis

Objective investment advice

Wells Fargo Advisors is one of the nation's premier financial services firms. Represented by more than 15,000 Financial Advisors,* Wells Fargo Advisors offers more than just knowledge and insight — we offer an objective and comprehensive approach to financial solutions for all aspects of our clients' lives.

Our Financial Advisors and their clients benefit from the research and advice of our Advisory Services Group (ASG). It combines all of Wells Fargo Advisors' analysts' and strategists' collective experience into a unified effort. Through its original research as well as reports and resources from other research providers, ASG provides advice and commentary on the economy and markets including U.S. equity and fixed-income, international equity and fixed-income, commodities, and currencies.

Talk to a Wells Fargo Advisors Financial Advisor for a list of the reports and research that are available.

**Data (as of March 31, 2012) are a combination of Wells Fargo Advisors, LLC, Wells Fargo Advisors Financial Network, LLC, and First Clearing, LLC.*

Wells Fargo Advisors is one broker/dealer affiliate of Wells Fargo & Company; other broker/dealer affiliates of Wells Fargo & Company may have differing opinions than those expressed in this report. Contact your Financial Advisor if you would like copies of additional reports.

Investment and Insurance Products: ▶ NOT FDIC Insured ▶ NO Bank Guarantee ▶ MAY Lose Value

Wells Fargo Advisors is the trade name used by two separate registered broker-dealers: Wells Fargo Advisors, LLC and Wells Fargo Advisors Financial Network, LLC, Members SIPC, non-bank affiliates of Wells Fargo & Company. First Clearing, LLC is a registered broker-dealer and non-bank affiliate of Wells Fargo & Company. © 2012 Wells Fargo Advisors, LLC. All rights reserved.

89169-v1

0612-0955

0000590489 (Rev 00, 1 ea)